For the buyer of the contract, accounting for 15th October to 16th October price movement, there is a loss of ₹125. The total loss amount payable by the buyer to the seller is ₹12,500. This will be deducted from the margin account of the buyer.

The seller, on the other hand, is credited with ₹12,500 in his account. The balance on the seller's side stands at ₹72,500. The surplus of ₹12,500 is allowed to be withdrawn by him.

DAY1

	SELLER	BUYER
Initial Margin	₹60,000	₹60,000
- Loss of ₹125 (125 x 100)	₹12,500	(₹12,500)
Total balance	₹72,500	₹47,500

The balance of the Buyer ₹47500 < ₹60000 (margin), due to which he would be required to bring in additional capital of ₹12,500.

	SELLER	BUYER
- Withdrawals	—	—
+ Additional Margins	—	₹12,500
Total balance	₹72,500	₹60,000

NOTE : For the continuation of the example, let us assume that no withdrawals were made and the balance is the same as stated after profit adjustment.